

Accounting and Payroll Services Agreement

Contract ID: LDG-ACC-2024-0831

Provider: Ledgerwise Accounting & Payroll, LLC ("Provider")

Client: Contoso Marketing, Inc. ("Client")

Effective Date: August 31, 2024

1. Services

1.1 Provider performs outsourced bookkeeping, monthly close, accounts-payable processing, and full-service **payroll** for Client's ~150 employees, including tax filings and year-end forms.

1.2 Services are delivered via Provider's hosted platform with Client portal access.

2. Term, Renewal, and Notice

2.1 **Initial Term.** Two (2) years from the Effective Date, ending **August 30, 2026**.

2.2 **Automatic Renewal.** The Agreement **renews automatically** for one-year terms unless either party gives notice of non-renewal. Renewal date: **August 31, 2026**.

2.3 **Notice.** Written notice of non-renewal must be given **at least sixty (60) days** before the renewal date — by **July 2, 2026** for the upcoming term.

3. Fees and Escalation

3.1 The annual service fee is **USD \$48,000**, invoiced monthly at \$4,000, **net 15**. Off-cycle payroll runs and special projects are billed per the rate schedule.

3.2 **Annual Escalation.** The fee increases by a fixed **three percent (3%)** at each renewal.

4. Data Protection

4.1 Provider processes **highly sensitive personal and financial data** (employee SSNs, bank details, compensation, and Client financial records). Provider acts as **processor** under the **Data Processing Addendum (Exhibit A)**, which forms part of this Agreement.

4.2 Provider shall: restrict access to authorized personnel; encrypt personal and financial data in transit and at rest; retain records per legal requirements; and notify Client of any personal-data breach within seventy-two (72) hours.

4.3 Provider shall not use Client data for any purpose other than delivering the services.

5. Confidentiality

Financial and employee information is treated as Confidential Information for the term and indefinitely with respect to personal data.

6. Liability

Aggregate liability capped at the fees paid in the prior twelve months, except for breaches of Section 4, capped at two times such fees, and except for Provider's failure to remit payroll taxes it was funded to remit.

7. Governing Law

Governed by the laws of the State of Washington.

Ledgerwise Accounting & Payroll, LLC

By: S. Okafor, Engagement Partner

Contoso Marketing, Inc.

By: F. Lindqvist, Controller